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COMPANY · NASDAQ · TTWO

Take-Two Interactive

Report of 11 Oct 2026 Price at research $213.44

WAIT · BUY < $126

Wait. A great franchise, priced as if the launch and everything after it go right.

WHY

- GTA VI is on track for 19 November 2026. Fiscal 2027 guidance is net bookings of $8.0 to $8.2bn, up about 20%, which implies roughly 35 to 38 million copies by March.
- At $213.44 the company is valued at $39.9bn: 31 times this year's expected adjusted earnings and 21 times next year's. Free cash flow last year was 1.2% of that value.
- The base case is worth about $168 today, the bull case about $262 and the bear case about $83. The chief executive sold 30,000 shares at $250 to $255 in August.

WHAT THE SHARES COULD BE WORTH

CASE	VALUE	VS $213.44
Bear if it goes badly	$82.6	−61%
Base as expected	$168	−21%
Bull if it goes well	$262	+23%

Margin of safety below $126.

3-year scenario targets, discounted to today at 10%.

$213.44 ≈ €190.26 ≈ 1,016 lei a share, at National Bank of Romania rates of 09 Oct 2026.

NEXT CHECKPOINT

Q2 fiscal 2027 results on 5 November 2026, then the GTA VI launch on 19 November.

IF YOU DON'T OWN IT

Wait. Do not buy ahead of the launch at $213. Interesting below about $168 (the base value) and attractive below about $126 (25% under it). A fall after a successful launch, as happened after Red Dead Redemption 2 in 2018, would be the moment to look again.

IF YOU OWN IT

Hold, but keep the position small enough that a 40% fall would not hurt, and do not add before the launch. The price already assumes a record launch, so the reward for being right is small next to the cost of being wrong.

SIGNALS TO ADD

- [ ] Price below about $168 with the launch delivered
- [ ] The online mode launches and recurrent spending grows above the fiscal 2026 level of $5.2bn
- [ ] First fiscal 2028 guidance above fiscal 2027
- [ ] Net cash reached and share buybacks restarted
- [ ] Insiders buying shares

SIGNALS TO SELL

- [ ] A third delay of GTA VI
- [ ] The online mode slips past fiscal 2028 or earns less than GTA Online does now
- [ ] Fiscal 2028 guidance below fiscal 2027
- [ ] A large acquisition paid for with new shares
- [ ] Price above about $262 (the bull value) without higher earnings estimates

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	05 Nov 2026	**Q2 fiscal 2027 results**	Is the $8.0 to $8.2bn bookings guidance raised, and is there a date for the online mode?
☐	19 Nov 2026	**GTA VI launch**	Review scores, the technical state of the game, and the first sales figure Take-Two announces.
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.
☐	≈ 04 Feb 2027	**Q3 fiscal 2027 results** Date not confirmed: Early February 2027	The first quarter with GTA VI: copies sold, recurrent spending, and whether full-year guidance moves.
☐	≈ 20 May 2027	**Fiscal 2027 results and first fiscal 2028 guidance** Date not confirmed: Mid to late May 2027	Is fiscal 2028 guided above fiscal 2027? That is the test for a post-launch slump.

THE FULL REPORT · TAKE-TWO INTERACTIVE · 11 OCT 2026

> Research date: 2026-10-11 · Price at research: **$213.44** (close 9 Oct 2026, StockAnalysis and Yahoo Finance) · Currency: USD Framework: AI Berkshire `/investment-research` (Buffett · Munger · Duan Yongping · Li Lu). Written in English at the reader's request. Companion report: Video games industry research Take-Two's fiscal year ends on 31 March. "Fiscal 2027" is April 2026 to March 2027, the year that contains the GTA VI launch. **Educational research only. Not investment advice.**

> **Currency and your money:** this report is written in US dollars. Price $213.44 ≈ €190.26 ≈ 1,016 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei. Figures in lei and euros are conversions at that day's rate and move with it.

0. Information richness rating and AI limitations

ITEM	ASSESSMENT
Information richness	**Grade A.** Listed since 1997, 29 analysts, full SEC filings, and the most-covered product launch in the history of the industry.

ITEM	ASSESSMENT
Main AI research trap	Consensus. 28 of 29 analysts rate the shares a buy, and "the biggest entertainment launch ever" is repeated in almost every article. An AI summary of that material will sound like the consensus. This report tests the story against three things the consensus mentions less: the company's own cash flow, what happened after its last two big launches, and what insiders are doing with their shares.
Data gaps	macrotrends.net blocked automated access and SEC.gov refused scripted downloads, so SEC filings were read through a browser and StockAnalysis is the second source. Not disclosed by the company: results by label after the year ends, the GTA VI budget, pre-order numbers, the date of the online mode, and any adjusted earnings per share. "Adjusted EPS" in this report is the analyst consensus, not a company figure. Estimates beyond fiscal 2028 were not available. Totals of insider selling come from aggregator sites; one filing was read directly.
Bias self-check	Being early on a famous launch feels like an edge. It is not one: the launch date, the price of the game and the guidance are all public. The question that decides the investment is what the company earns in the years after the launch, and nobody has that data yet.

1. Data collection and cross-validation

1.1 Key facts

METRIC	VALUE	SOURCE
Share price (9 Oct 2026)	$213.44	StockAnalysis / Yahoo Finance
Shares outstanding	186.98M (27 Jul 2026)	Form 10-Q cover
Market cap	$39.9bn	Tool check, see 1.2
Enterprise value	$40.6bn excluding leases ($41.0bn including them)	Calculated / StockAnalysis
52-week range	$187.63 to $265.94	Yahoo Finance
1-year / year-to-date price change	about -17% / -17%	Yahoo Finance, calculated (StockAnalysis 52-week change: -17.3%)
Fiscal 2026 revenue (year to 31 Mar 2026)	$6,656.4m (+18%)	SEC XBRL / StockAnalysis
Fiscal 2026 net bookings	$6,721.0m (+19%)	Form 10-K
Fiscal 2026 GAAP operating loss	$104.2m	SEC XBRL
Fiscal 2026 net loss / GAAP EPS	$298.2m / -$1.62	SEC XBRL / StockAnalysis
Fiscal 2026 operating cash flow / free cash flow	$624.3m / $461.5m	SEC XBRL (StockAnalysis free cash flow: $434.1m)
Q1 fiscal 2027 (Apr to Jun 2026)	Revenue $1,533.9m (+2%), net bookings $1,385.9m (-3%), net loss $34.1m	Q1 release (7 Aug 2026)
Fiscal 2027 guidance	Net bookings **$8.0 to $8.2bn**, revenue $7.9 to $8.1bn, net income $104 to $143m, GAAP EPS $0.55 to $0.75, operating cash flow over $1bn, capital spending about $290m	Q1 release
Q2 fiscal 2027 guidance	Net bookings $1.62 to $1.67bn (last year: $1.96bn), net loss $140 to $157m	Q1 release

METRIC	VALUE	SOURCE
Consensus adjusted EPS, fiscal 2027 / 2028	$6.87 / $10.29	StockAnalysis (19 analysts)
Cash and short-term investments (30 Jun 2026)	$1,826.6m	Form 10-Q
Debt (30 Jun 2026)	$2,519.7m ($629.9m due within a year)	Form 10-Q
Net debt	$693.1m excluding leases	Calculated
Dividend / buybacks	None / none since fiscal 2022	Form 10-K
GTA VI	19 November 2026, PlayStation 5 and Xbox Series X|S. Standard edition $79.99, Ultimate $99.99. No PC version announced.	Company releases, press
Analyst ratings	28 buy, 0 hold, 1 sell. Average target $286.44, range $170 to $368	StockAnalysis
Next results	Q2 fiscal 2027 on 5 Nov 2026, after the market closes	StockAnalysis

1.2 Tool-verified checks (`financial_rigor.py`)

CHECK	RESULT
Market cap = $213.44 × 186,980,443 shares	**$39.91bn**. Matches StockAnalysis $39.91bn, deviation 0.00%. ✅
Fiscal 2026 revenue, 2 sources	$6,656.4m vs $6,656m. ✅ 0.0%
Fiscal 2026 net loss, 2 sources	$298.2m vs $298.2m. ✅ 0.0%
Fiscal 2026 operating cash flow, 2 sources	$624.3m vs $624.3m. ✅ 0.0%
Cash and investments, 30 Jun 2026	$1,826.6m vs $1,830m. ✅ 0.2%
Fiscal 2026 free cash flow	$461.5m vs $434.1m. ⚠️ 6% apart. StockAnalysis counts $190.2m of capital spending, the cash flow statement shows $162.8m of fixed assets. Filing figure used.
Total debt, 30 Jun 2026	$2,519.7m vs $2,940m. ⚠️ 15% apart. The difference is lease liabilities. Ex-lease figure used.
Fiscal 2026 operating loss	$104.2m vs $79.5m. ⚠️ StockAnalysis leaves out unusual items. Filing figure used.
P/E on fiscal 2027 consensus adjusted EPS ($6.87)	213.44 / 6.87 = **31.07x**
P/E on fiscal 2028 consensus adjusted EPS ($10.29)	213.44 / 10.29 = **20.74x**
Price to book ($19.30 a share)	**11.06x**
Price to free cash flow ($1.60 a share, trailing)	**133.4x**, free cash flow yield **0.75%**
Analyst price target, 2 sources	$286.44 vs $298.89. ⚠️ 4.3% apart (different analyst sets).

1.3 The financial record (SEC XBRL, $m, fiscal years to 31 March)

FISCAL YEAR	REVENUE	GROSS MARGIN	OPERATING INCOME	NET INCOME	GAAP EPS	OPERATING CASH FLOW	FREE CASH FLOW	SHARES (M, YEAR-END)
2021	3,372.8	54.5%	629.4	588.9	5.09	912.3	843.4	115.2
2022	3,504.8	56.2%	473.6	418.0	3.58	258.0	99.4	115.4

FISCAL YEAR	REVENUE	GROSS MARGIN	OPERATING INCOME	NET INCOME	GAAP EPS	OPERATING CASH FLOW	FREE CASH FLOW	SHARES (M, YEAR-END)
2023	5,349.9	42.7%	-1,165.2	-1,124.7	-7.03	1.1	-203.1	168.9
2024	5,349.6	41.9%	-3,590.6	-3,744.2	-22.01	-16.1	-157.8	170.8
2025	5,633.6	54.4%	-4,391.1	-4,478.9	-25.58	-45.2	-214.6	177.1
2026	6,656.4	57.2%	-104.2	-298.2	-1.62	624.3	461.5	185.4

Notes:

- Take-Two bought Zynga in May 2022 for about $12.7bn in cash and shares (the announced value). Revenue jumped by half and profit disappeared.
- **Net losses over fiscal 2023 to 2026 add up to $9.65bn.** Most of that is not cash: $5.89bn of goodwill written off in fiscal 2024 and 2025, and $4.57bn of amortization and impairment of acquired intangibles over the four years.
- Even with the acquisition charges added back, fiscal 2026 was thin. Operating loss of $104.2m plus $725.7m of intangibles charges gives about $621m, a 9.3% margin, and that still includes $305m of pay in shares.
- The share count rose 62% between March 2022 and July 2026 (115.4M to 187.0M): Zynga, Gearbox, employee awards, and about $1.2bn of new shares sold in May 2025.
- Free cash flow was negative for three years in a row while GTA VI was being built.

1.4 The last big launch, for scale (SEC XBRL)

FISCAL YEAR	REVENUE	NET INCOME	WHAT HAPPENED
2013	$1,214.5m	-$29.5m	Year before GTA V
2014	$2,350.6m	+$361.6m	GTA V launched 17 Sep 2013: revenue **+94%**
2015	$1,082.9m	-$279.5m	Year after: revenue **-54%**, back to a loss
2016	$1,413.7m	-$8.3m	GTA Online and NBA 2K start to fill the gap

2. The business: Duan Yongping's "right business"

One sentence: Take-Two owns a handful of entertainment franchises (Grand Theft Auto, Red Dead Redemption, NBA 2K, Borderlands, and Zynga's mobile puzzle games) and earns more from what players spend inside the games than from selling the games.

2.1 Where the money comes from (fiscal 2026)

BY PLATFORM (NET BOOKINGS)	$M	SHARE
Mobile	3,300.9	49%
Console	2,687.0	40%
PC and other	733.1	11%
Total	**6,721.0**	

BY LABEL (MANAGEMENT'S FEBRUARY 2026 ESTIMATE FOR THE YEAR; NOT REPORTED AFTERWARDS)	SHARE	MAIN PRODUCTS
Zynga	about 46%	Toon Blast, Match Factory!, Empires & Puzzles, Color Block Jam, Words With Friends
2K	about 38%	NBA 2K (2K26 sold over 12 million copies), Borderlands 4, WWE 2K, Civilization
Rockstar Games	about 16%	GTA V and GTA Online, Red Dead Redemption 2

Other facts from the annual report:

- **Recurrent consumer spending** (virtual currency, add-on content, in-game purchases, subscriptions) was **78% of the total, about $5.2bn**. Full-game sales are the small part.
- **Grand Theft Auto was 12.4% of revenue** in fiscal 2026, thirteen years after GTA V came out. The five largest franchises were 54.3%.
- 97% of revenue is digital. 59% comes from the United States.
- The five largest customers (Apple, Sony, Google and Microsoft each above 10%) carried 80.6% of revenue. They are the shops, and they keep roughly 30% of what players pay.
- 12,909 employees, 9,998 of them in development studios.

What fiscal 2027 guidance says about GTA VI. Management expects the label mix to move to Rockstar 37%, Zynga 34%, 2K 29%. Rockstar's share of an $8.1bn midpoint is about $3.0bn, against about $1.08bn last year. The increase of roughly $1.9bn, divided by the $50 to $55 that a publisher keeps from an $80 digital sale (an estimate; the platforms take about 30%), is **35 to 38 million copies** between 19 November and 31 March. That is in line with what analysts read into the guidance (JPMorgan: mid-30 millions) and below most of their own forecasts (Piper Sandler 35 million, Morgan Stanley 40 million, Bank of America 45 million in the first year, Morningstar 60 to 70 million). For comparison, GTA V has sold over 230 million copies in thirteen years.

2.2 The cost side (fiscal 2026, % of revenue)

COST	$M	%	COMMENT
Product costs (platform fees, hosting, physical goods)	863.8	13.0%	Rises with mobile
Amortization of acquired games	662.2	9.9%	Zynga. Falls to about $205m by fiscal 2029
Licences (NBA, WWE and others)	463.5	7.0%	The price of not owning the brand
Development costs and royalties	439.8	6.6%	The GTA VI bill has not arrived here yet
Internal royalties	417.4	6.3%	Profit share paid to the studios, above all Rockstar
Gross profit	**3,809.7**	**57.2%**	
Selling and marketing	1,770.8	26.6%	Mobile user acquisition is most of it
Research and development	1,074.6	16.1%	
General and administrative	874.4	13.1%	Includes $79.5m for the outside management company

Two things stand out. First, **$2,149.7m of development spending on unreleased games sits on the balance sheet** ($11.50 a share), most of it GTA VI by any reasonable reading. It becomes a cost when the game sells. Second, the more GTA VI earns, the more Rockstar's staff are paid through internal royalties. Shareholders do not keep all of a hit.

2.3 Is it a good business?

What is good about it

- **One of the best assets in entertainment.** GTA V kept selling for thirteen years, and Grand Theft Auto still brings in about an eighth of the company's revenue. Very few products of any kind do that.
- **Spending inside games repeats.** 78% of bookings come from players who are already there.
- **NBA 2K is a dependable annual product** with growing engagement (daily players up 15%, in-game spending up 7% in the latest quarter).
- **Little physical capital.** Capital spending is 2 to 3% of revenue.
- **The price of GTA VI was set with restraint**: $79.99 when some analysts had argued for $100. That protects volume and goodwill.

What is not so good

- **The gap between hits is thirteen years.** Rockstar releases one game roughly every five to eight years. Between them, results depend on the online mode and on the other two labels.
- **Half the business is mobile, and it is shrinking.** Mobile bookings fell 7% in the latest quarter and are guided down for the year. Zynga cost $12.7bn and $5.9bn of it has been written off.
- **Little of the revenue reaches shareholders as cash.** In its largest year ever, Take-Two guides to "over $1bn" of operating cash flow on about $8.1bn of bookings (about 12%). Electronic Arts produced $2.55bn on $8.03bn (32%) in its last year as a public company.
- **Shareholders have been diluted, not paid.** No dividend, no buyback since fiscal 2022, 62% more shares.
- **The shops take a third and can change the terms.** Console prices are also rising: Sony and Microsoft raised them again in 2026, and US console unit sales in August were the lowest for that month since 2013 (Circana, via press reports).

> **Duan Yongping's question: what is good about this business, in one sentence?** It owns a franchise that people will pay for again thirteen years after they first bought it. The addition a careful owner has to make: one franchise carries the value, the other half of the company was bought at too high a price, and so far the people who work there have been paid better by the success than the people who own it.

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3. Moat: Buffett's "economic moat"

MOAT TYPE	TEST	EVIDENCE	STRENGTH
Brand / pricing power	Can it raise prices without losing volume?	GTA is the strongest brand in games: over 465 million copies sold in the series. GTA VI is priced at $79.99, above the $69.99 standard, and pre-orders were described by the CEO as "unprecedented and astonishing". NBA 2K has pricing power inside the game but pays a licence. Zynga has none.	★★★★★ Rockstar · ★★★ 2K · ★★ Zynga
Switching costs	How costly is it to leave?	Years of progress, characters and purchases in GTA Online and NBA 2K. Low in mobile puzzle games.	★★★
Network effects	Does it get better with more users?	Online worlds are better when friends are there. Real, but weaker than in a social network.	★★★

MOAT TYPE	TEST	EVIDENCE	STRENGTH
Scale	Does size lower cost or raise the bar?	Few companies can fund a game for eight years with $2bn or more of capitalised cost. That is a barrier, and also a concentration of risk.	★★★★
Technology / licences	Is it protected?	Rockstar's own engine and craft are hard to copy. The NBA licence must be renewed and gets more expensive.	★★★

Trend: at Rockstar the moat is as wide as it has ever been, and GTA VI should widen it. At 2K it is stable. At Zynga it is narrow and getting narrower as competitors outspend it on advertising, which management itself said on the last call.

> **Buffett's question: will the moat still be there in ten years, and what could destroy it?** Grand Theft Auto will almost certainly still matter in 2036. What could damage it is a launch that damages trust (the way Cyberpunk 2077 did for CD Projekt), a loss of the people who make it, or tools that let many more studios build large open worlds cheaply. None of these looks likely today. The moat is not the problem with this investment. The price is.

4. Inversion and risk list: Munger's "invert, always invert"

4.1 How this investment could fail

PATH	PROBABILITY	IMPACT	COMMENT
GTA VI is delayed a third time	Low	High	The date was reconfirmed on 7 Aug, the age rating appeared around 1 Oct, pre-orders are open. Two delays already happened.
The launch is good but below what the share price needs	Medium	High	Guidance implies about 35 to 38 million copies. Many forecasts are far higher. A result between the two is a business success and a stock-market disappointment.
The online mode arrives late or earns less than GTA Online	Medium	High	Sony's PlayStation listing describes GTA VI as a single-player experience, and no date has been given for online play. A press report on this alone took 6.7% off the shares on 31 Aug. The long-term value depends on this more than on launch sales.
Post-launch slump	Medium	High	After GTA V, revenue fell 54% the next year. The recurring base is far larger now, so the fall would be smaller, but fiscal 2029 has no known product of this size.
Expensive consoles limit the audience	Medium, already happening	Medium	A PlayStation 5 costs more than at launch six years ago. The game is console-only, digital-only, and $80.
Mobile keeps shrinking	Medium-high	Medium	A third of fiscal 2027 bookings, declining, in a market where rivals outspend Zynga.
Success is shared out before it reaches shareholders	Medium	Medium	Internal royalties, bonuses and share awards all rise with a hit. Adjusted EBITDA of $1,401.6m (the bonus measure) compares with reported EBITDA of $760.6m.
Another large acquisition	Medium	Medium-high	The Zynga record argues for caution. Management says deals must wait for net cash and add to earnings at once.
Leadership change	Medium over five years	Medium-high	The management contract with ZMC ends in March 2029. The CEO was born in 1957. Rockstar depends on a small creative leadership.

PATH	PROBABILITY	IMPACT	COMMENT
Generative AI lowers the barrier to making large games	Low for now	Unknown	Shares fell 7.9% on 30 Jan 2026 when Google showed its Genie tool. Not modelled.

4.2 Historical analogies

1. **Take-Two after GTA V (2013).** The business did what a hit-driven business does: revenue +94%, then -54%. The shares did well anyway ($18.17 at the end of September 2013, $23.07 a year later, $28.73 a year after that). The reason matters. In October 2013 the whole company was valued at about **$1.76bn, or 0.75 times that year's revenue**. Today it is valued at $39.9bn, **4.9 times** this year's guided bookings. In 2013 the market paid almost nothing for what came after the launch. Today it pays for a great deal of it.
2. **Take-Two after Red Dead Redemption 2 (October 2018).** The game was a large success. The shares went from $137.99 at the end of September 2018 to $87.26 at the end of February 2019, down 37%, in a weak market and amid worry about competition from Fortnite. A hit does not protect a full price.
3. **CD Projekt and Cyberpunk 2077 (December 2020).** The share price peaked before release and fell by more than two thirds after a launch with serious technical problems (general knowledge, not re-verified for this report). Rockstar's record on quality is much better, which is why this path is rated low.

4.3 Bias check

- **Narrative:** "biggest launch ever" is true and already known to every buyer and seller.
- **Anchoring:** the 52-week high of $265.94 and the average target of $286 are not values. The target is roughly 28 times one peak year's adjusted earnings.
- **Herding:** 28 buys, no holds. When everyone who can be convinced already is, good news moves the price less than bad news.
- **What the bears say:** there is one sell rating. Morgan Stanley's own downside scenario is $170. The cautious argument is the one in this report: fiscal 2028 is priced as a new normal, when it may be a peak.
- **What the bulls say:** guidance is conservative (it was about 11% below analyst estimates when given), the installed base of consoles is over 130 million, the online mode and a later PC version extend the cycle for years, and the forward multiple of about 25 times is the lowest in a year (12-month average: about 44 times).

> **Munger's question: where am I most likely to be wrong, and why would smart people not buy?** Smart people would not buy because they are being asked to pay about 24 times the earnings of what may be the best year of the decade, after stock pay, while the chief executive sells. The likeliest way this caution is wrong: the new online world earns two or three times what GTA Online earns, and fiscal 2028 turns out to be a floor. That is possible. It is not what the company's history shows, and the price leaves no payment for the risk.

5. Management: "right people" (Duan) and integrity (Buffett)

5.1 Key decisions

DATE	DECISION	RESULT SO FAR	SCORE
2007 on	ZelnickMedia took over management after a shareholder revolt. Strauss Zelnick has been chairman since March 2007 and CEO since January 2011.	A company with repeated losses and accounting problems became a stable one. The share price was $44.39 at the end of October 2016 and is $213.44 today.	★★★★★
2013	GTA Online launched alongside GTA V	Turned a one-off sale into thirteen years of income. The most valuable decision in the company's history.	★★★★★
2022	Bought Zynga for about $12.7bn	Mobile is half of bookings, but $5.9bn of goodwill was written off within three years and the share count rose by almost half.	★★
2024	Bought Gearbox for shares, closed or sold smaller labels, cut costs	Borderlands 4 added $210m of revenue in fiscal 2026.	★★★
2023 to 2025	Delayed GTA VI twice (autumn 2025, then 26 May 2026, then 19 November 2026)	Protects the product. Each delay also pushed the pay-off a year further out for shareholders.	★★★★
May 2025	Sold about $1.2bn of new shares	Removed refinancing risk before the launch at the cost of dilution.	★★★
Fiscal 2023 to 2026	No buybacks while the share count rose every year	10 million shares remain authorised and unused.	★★

5.2 Alignment

- **The top two executives are not employees.** Zelnick and president Karl Slatoff are provided by ZMC Advisors under a contract that runs to 31 March 2029. ZMC is paid a $3.3m annual fee, a bonus of up to $13.2m, and share awards. In fiscal 2026 the cost was **$79.5m** ($16.6m in cash, $62.9m in shares).
- **How the bonus is set.** It depends only on an adjusted EBITDA figure that leaves out share pay, bonuses and acquisition charges. The fiscal 2026 target was $919.5m, the result was $1,401.6m, and the maximum was paid. The share awards depend 75% on share price performance against the NASDAQ-100 and 25% on recurrent consumer spending.
- **Ownership is small.** All directors and officers together hold 1.12% of the company, and most of that is unvested units held through ZMC. Zelnick's family trust held 152,314 shares after his August sales, worth about $32.5m.
- **Insiders are selling.** On 10 August 2026, three trading days after the Q1 results, Zelnick's trust sold 30,000 shares at $250.49 to $255.05 and a charitable trust sold 10,000 more (Form 4; no trading-plan box ticked). Aggregator sites count 57 insider sales and no purchases in six months, including about 339,000 shares by Zelnick and about 249,000 by Slatoff. Many follow the yearly vesting of awards on 1 June, which makes some selling routine. The same sites show sales by Zelnick in early March 2026 too. No insider bought at any point in the period.
- **A large outside holder.** Saudi Arabia's Public Investment Fund owns 6.10% (11.4 million shares). The same fund led the $55bn purchase of Electronic Arts that closed on 4 August 2026.

> **Duan Yongping's question: if the CEO retired, would the company stay competitive?** Yes, because the value sits in Rockstar and 2K, not in the head office. The harder question is whether the head office spends the GTA VI money well. The record is one very good decision (patience with Rockstar), one expensive one (Zynga), and a habit of paying in shares. An owner should watch what is done with the cash in 2027 more closely than the launch itself.

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6. Industry and long-run trend: Li Lu's "civilization" lens

- **Is this a civilization-level shift?** No. Games are a large, mature form of entertainment. Newzoo puts the 2026 market at $213.9bn, up 6.1%: mobile $121.1bn, console $46.9bn, PC $45.9bn. The number of players grows about 3 to 4% a year. Growth now comes from spending per player.
- **GTA VI matters to the whole industry.** Newzoo says console revenue would fall in 2026 without it.
- **The value chain squeezes the middle.** Platform owners take about 30%. Hardware is getting dearer because memory chips are short. Development budgets have risen faster than prices. The companies that earn well are the ones with a few franchises people return to for years. Take-Two has one of the best of those and a mobile arm that does not qualify.
- **Consolidation sets a price.** Microsoft bought Activision, and Electronic Arts was taken private at $55bn: 6.9 times bookings and 21.5 times operating cash flow. Take-Two at $40.6bn is 5.0 times this year's bookings but about 40 times this year's guided operating cash flow. On sales it looks cheaper than EA. On cash it looks twice as expensive.
- **Customer and supplier concentration:** four platform companies carry 80% of revenue.

More in the companion industry report.

> **Li Lu's question: looking back from 2046, is this the Standard Oil of its era or a 3Com?** Neither. It is closer to a film studio that owns the most valuable series ever made and releases an instalment once a decade. Such a company can be worth a lot. It is rarely worth the multiple of a business whose earnings arrive every year.

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7. Valuation and margin of safety

7.1 What the market is paying today

MEASURE	NOW	COMMENT
Market cap / enterprise value	$39.9bn / $40.6bn	
P/E on GAAP earnings	none	Four years of losses
P/E on fiscal 2027 consensus adjusted EPS ($6.87)	31.1x	Launch year, 4.4 months of GTA VI
P/E on fiscal 2028 consensus adjusted EPS ($10.29)	20.7x	First full year
P/E on fiscal 2028 after share pay (about $8.87)	24.1x	Adjusted EPS leaves out about $330m a year of pay in shares (estimate)

MEASURE	NOW	COMMENT
EV / fiscal 2027 guided net bookings	5.0x	
EV / fiscal 2027 guided operating cash flow	about 40x	Guidance is "over $1bn"
Price to book	11.1x	
Free cash flow yield, fiscal 2026	1.16%	0.75% on the last twelve months

History (StockAnalysis, fiscal year-ends): forward P/E was 24.5 (March 2022), 26.0 (2023), 46.7 (2024), 31.9 (2025), 32.0 (March 2026) and is 26.0 now. Those multiples were paid on earnings before the launch. A multiple paid on launch-year earnings should be lower, because the best year is no longer ahead.

Peers (StockAnalysis, 9 Oct 2026), forward P/E: Krafton 8.0 · NetEase 12.5 · Tencent 12.7 · Sony 17.7 · Konami 23.5 · **Take-Two 26.0** · Capcom 27.5 · Nintendo 27.9 · CD Projekt 42.8. Operating margins over the last twelve months: Capcom 41.7%, NetEase 35.2%, Tencent 33.3%, Konami 30.8%, Krafton 29.7%, Nintendo 19.7%, Sony 13.7%, Take-Two -1.4% (GAAP).

7.2 Reverse check: what does $213.44 assume?

For a buyer to earn 10% a year for three years with no dividend, the share must be at **$284** in October 2029.

- At 22 times earnings, that needs adjusted EPS of **$12.91** in fiscal 2030, 25% above the consensus for the launch-cycle year of fiscal 2028.
- At 26 times, it needs **$10.93**, a little above fiscal 2028.

So the price assumes one of two things: profits keep growing more than 10% a year after the best launch in the company's history, or investors still pay a pre-launch multiple once the launch is behind them.

7.3 Three scenarios over three years (`financial_rigor.py three-scenario`)

Starting point: consensus adjusted EPS of $6.87 for fiscal 2027. End point: fiscal 2030 (April 2029 to March 2030), which is what the market will be looking at in October 2029.

SCENARIO	EPS GROWTH A YEAR	FISCAL 2030 EPS	P/E	PRICE IN OCT 2029	CHANGE VS $213.44	VALUE TODAY (DISCOUNTED AT 10%)
Bull: record launch, online mode earns well above GTA Online, PC version follows	25%	$13.42	26x	$348.9	+63.4%	**$262.1**
Base: strong launch, earnings hold near the fiscal 2028 level as online spending replaces game sales	14%	$10.18	22x	$223.9	+4.9%	**$168.2**
Bear: good launch, then a slump as after GTA V; online mode slow, mobile shrinking	0%	$6.87	16x	$109.9	-48.5%	**$82.6**

Why these multiples: 22 times adjusted earnings is about 25 times earnings after share pay. It is a full price for a company after its launch, used here as the middle case. (For comparison, the buyers of Electronic Arts paid 21.5 times its operating cash flow.) The bull case keeps today's multiple. The bear case uses the multiple of an ordinary publisher between hits.

The base case discounted to today is about $168, 21% below the current price. The bull case is 23% above it and the bear case 61% below. A 25% margin of safety on the base case is about **$126**.

7.4 Ten-year discounted view (`terminal_value.py`)

Exit multiple from the perpetual-growth formula only: exit P/E = (1 - g / ROIC) / (r - g). No peer multiples.

The three inputs and why

INPUT	VALUE	REASON
r, cost of capital	**10%** (USD)	Framework default for dollar cash flows (range 9 to 11.5%).
ROIC on new capital	**15%**	A judgment between two extremes. Games built in-house earn very high returns (StockAnalysis shows ROIC of 42.6% in fiscal 2022, before Zynga). Acquisitions have earned little: $12.7bn paid for Zynga, $5.9bn written off.
g, growth after 2036	**3%** base (2% bear, 4% bull)	Long-run nominal US growth. Capped at 4% for USD.

Audit result: all three hard checks passed (currency match, r minus g of at least 5 points in every case, discrete risks kept out of the discount rate). Denominator width: 8, 7 and 6 points.

Starting profit: fiscal 2028 consensus adjusted net income of about $1,955m ($10.29 × 190M shares) less about $271m of share pay after tax, giving **$1,684m**. Market cap $39,909m.

CASE	PROFIT PATH TO FISCAL 2037	FISCAL 2037 PROFIT	EXIT P/E	CASH RETURNED A YEAR	10-YEAR RETURN A YEAR
Bear	Falls below the fiscal 2028 level	$1,300m	10.8x	1%	**-8.9%**
Base	+4% a year from fiscal 2028	$2,400m	11.4x	2%	**-1.7%**
Bull	+8% a year from fiscal 2028	$3,370m	12.2x	2.5%	**+2.8%**

Sensitivity to r (base case): at r = 8% the exit P/E is 16.0x and the return is +1.6% a year (bull +5.6%, with g held at 3% to keep the denominator at 5 points). At r = 12% the exit P/E is 8.9x and the return is -4.1%. The conclusion does not change sign anywhere in the range: the base case stays far below a 10% hurdle at every rate tested.

What it would take. For 10% a year with 2% returned in cash, the company must be worth about $86bn in 2036. At the formula's 11.4 times that is $7.6bn of profit. Even at 22 times it is $3.9bn, against $1.7bn expected in fiscal 2028.

This test is strict on purpose. It refuses to assume that the market will still pay a premium multiple in ten years. Under that rule the shares do not pay for themselves at today's price.

7.5 Limits of this valuation

- **Not modelled:** generative AI lowering the cost of making large games, regulation of in-game purchases or platform fees, and the loss of key Rockstar staff. All three are flagged by the audit tool as outside the model.
- A delay or weak reception, a slow online mode and expensive consoles are handled as scenarios (the bear case), not through the discount rate.
- Adjusted EPS is the analyst consensus. Take-Two does not publish it. The deduction for share pay ($330m a year, 18% tax) is this report's estimate.
- Cash flow will look better than earnings in fiscal 2028 and 2029, because about $2.1bn of past development spending will be charged against profit without any cash leaving. That is a real plus for the balance sheet and is not captured in an earnings multiple.

- Fiscal 2030 is three and a half years away in a hit-driven business. The range between the bear and bull cases ($83 to $262) is the honest measure of how little is known.
- The bull case may be too low if the online world becomes a platform in its own right. The bear case may be too mild if the launch itself goes wrong.

> **Buffett's question: if r is wrong by two points, does the conclusion flip?** No. At 8% the base case earns 1.6% a year, at 12% it loses 4.1%. The conclusion would flip only by assuming that buyers in 2036 pay well over 20 times earnings. That is an assumption about other people's future optimism, not about the business.

> **Duan Yongping's question: if the market closed for five years, would you hold at this price?** For the franchise, gladly. At this price, no. With the market closed there is nothing to live on: no dividend, no buyback, and a cash yield of about 1%. The whole return would have to come from someone paying more in 2031.

In your money: what this means in lei

- **Price:** one share $213.44 ≈ €190.26 ≈ 1,016 lei; the base value of $168 ≈ €150 ≈ 800 lei; the margin-of-safety level of $126 ≈ €112 ≈ 600 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei.
- **Return:** the base case is -1.7% a year over ten years in dollars, in a range of -8.9% to +2.8%. A return in lei is that figure plus or minus the change in the lei price of the dollar. Between 26 Feb and 9 Oct 2026 the leu lost 10.2% against the dollar and 4.8% against the euro (BNR reference rates), which shows how much the exchange rate alone can move a lei result.
- **Inflation:** Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. None of the three ten-year cases beats either figure. Over three years, only the bull case (+63% in dollars) clearly does.

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8. Decision memo

DIMENSION	CONCLUSION	CONFIDENCE
Business quality (Duan)	Rockstar is exceptional, 2K is good, Zynga is ordinary and shrinking. Little of the revenue becomes cash for owners.	Medium-high
Moat (Buffett)	Very wide at Rockstar, stable at 2K, narrow in mobile.	High
Management (Duan + Buffett)	Patient with the product, expensive in acquisitions and share pay, small owners, currently sellers.	Medium
Biggest risk (Munger)	Paying a growth multiple for a peak year. The online mode has no date.	Medium-high
Long-run trend (Li Lu)	Mature industry. Franchise owners keep the profit.	High
Valuation (Buffett + Duan)	Full. About $168 base value against a $213.44 price, bear case near $83, bull near $262.	Medium

STRATEGY	SUGGESTION
No position	Wait. Do not buy ahead of the launch at $213. Interesting below about **$168** (the base value) and attractive below about **$126** (25% under it). A fall after a successful launch, as happened after Red Dead Redemption 2 in 2018, would be the moment to look again.

STRATEGY	SUGGESTION
Already holding	Hold, but keep the position small enough that a 40% fall would not hurt, and do not add before the launch. The price already assumes a record launch, so the reward for being right is small next to the cost of being wrong.
Signals to sell	A third delay of GTA VI · the online mode slips past fiscal 2028 or earns less than GTA Online does now · fiscal 2028 guidance below fiscal 2027 · a large acquisition paid for with new shares · price above about $262 (the bull value) without higher earnings estimates.
Signals to add	Price below about $168 with the launch delivered · the online mode launches and recurrent spending grows above the fiscal 2026 level of $5.2bn · first fiscal 2028 guidance above fiscal 2027 · net cash reached and share buybacks restarted · insiders buying shares.

Dates to watch

DATE	EVENT	WHAT TO CHECK
5 November 2026	Q2 fiscal 2027 results	Is the $8.0 to $8.2bn bookings guidance raised, and is there a date for the online mode?
19 November 2026	GTA VI launch	Review scores, the technical state of the game, and the first sales figure Take-Two announces.
Early February 2027	Q3 fiscal 2027 results	The first quarter with GTA VI: copies sold, recurrent spending, and whether full-year guidance moves.
Mid to late May 2027	Fiscal 2027 results and first fiscal 2028 guidance	Is fiscal 2028 guided above fiscal 2027? That is the test for a post-launch slump.

Verdict: wait. A great franchise, priced as if the launch and everything after it go right. The next data point is 5 November, the one that matters is May 2027.

> **Buffett (simulated):** "I would love to own Grand Theft Auto. I would not love to own it at forty times the cash it produces in its best year. A wonderful business at a wonderful price for the seller is not a bargain for the buyer."
>
> **Munger (simulated):** "Everybody knows the game is coming. Twenty-eight analysts say buy and the man who runs the place sold in August. I know which of those I would weigh more."
>
> **Duan Yongping (simulated):** "The product is right. The people who make it are right. I am less sure about the people who spend the money, and the price is not right. Two out of three is not enough. Wait."
>
> **Li Lu (simulated):** "In 2013 you could buy this company for less than one year of sales and the market gave you everything after the launch for free. Today you pay for all of it in advance. The asset is better than it was then. The bet is worse."

9. AI confidence versus investment certainty

	LEVEL	WHY
AI analysis confidence	High on the numbers, medium on the judgment	Grade A information, filings-based figures, tool-checked arithmetic. The key variable (earnings two and three years after launch) has no data yet.
Investment certainty	High that the launch will be big, low on what the shares do	The range between the bear and bull values is $83 to $262.

Based on solid data: the financial record, guidance, the balance sheet, share count and dilution, the cost of the management contract, the insider sale of 10 August, current multiples, and what happened to revenue and the

share price after GTA V and Red Dead Redemption 2.

Based on reasoning from limited information: the number of copies implied by guidance (the $50 to $55 kept per copy is an estimate), the share-pay adjustment to earnings, fiscal 2030 earnings in all three scenarios, the 15% return assumed on new capital, the totals of insider selling (aggregator sites), console hardware figures (press reports of Circana data), the company's history before 2011, and the Cyberpunk 2077 comparison (both general knowledge).

Appendix: cross-validation record and sources

DATA POINT	SOURCE 1	SOURCE 2	DEVIATION	STATUS
Share price	$213.44 (StockAnalysis)	$213.44 (Yahoo Finance)	0.00%	✅
Market cap	$39.91bn (calculated)	$39.91bn (StockAnalysis)	0.00%	✅
Shares outstanding	186,980,443 (10-Q cover)	186.98M (StockAnalysis)	0.00%	✅
Fiscal 2026 revenue	$6,656.4m (SEC XBRL)	$6,656m (StockAnalysis)	0.0%	✅
Fiscal 2026 net loss	$298.2m (SEC XBRL)	$298.2m (StockAnalysis)	0.0%	✅
Fiscal 2026 operating cash flow	$624.3m (SEC XBRL)	$624.3m (StockAnalysis)	0.0%	✅
Fiscal 2026 gross profit	$3,809.7m (SEC XBRL)	$3,839m (StockAnalysis)	0.8%	✅
Cash and investments, 30 Jun 2026	$1,826.6m (10-Q)	$1,830m (StockAnalysis)	0.2%	✅
Fiscal 2026 free cash flow	$461.5m (filing)	$434.1m (StockAnalysis)	6%	⚠️ capital spending defined differently
Total debt, 30 Jun 2026	$2,519.7m (10-Q)	$2,940m (StockAnalysis)	15%	⚠️ leases
Fiscal 2026 operating loss	$104.2m (SEC XBRL)	$79.5m (StockAnalysis)	27%	⚠️ unusual items left out by StockAnalysis
Book value per share	$19.30 (calculated)	$19.30 (StockAnalysis)	0.0%	✅
Analyst price target	$286.44 (StockAnalysis)	$298.89 (MarketBeat)	4.3%	⚠️ different analyst sets

Data audit (`report_audit.py`, 15% random sample): 28 points sampled, 26 passed, 2 warnings, 0 failed. **Cleared for release.** Both warnings were rounding (a free cash flow yield written as 1.2% where the exact figure is 1.16%, and a gap between two price targets written as 4% where it is 4.3%); both are now shown to the extra decimal. Revenue, net loss, operating cash flow, gross profit, cash, share count and free cash flow were re-checked against SEC XBRL and StockAnalysis. About a third of the sampled points were model assumptions, tool outputs or text labels, which the audit can only confirm were copied correctly. Valuation inputs were re-run through `terminal_value.py audit` after the final draft: passed, unchanged.

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Personal research made with AI help. Not investment advice. Verify before acting.
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